W. W. Fowler
1833–1881

W. W. Fowler's insights into the New York Stock Exchange have proved useful to more than one historian, and he is must reading for any student of the Street. As a speculator operating in the mid-1800s, he rubbed shoulders with the likes of Daniel Drew and Cornelius Vanderbilt. "These men," he said, "are the Nimrods, the mighty hunters of the stock market; they are the large pike in a pond peopled by a smaller scaly tribe." Fowler himself operated according to Charles Darwin's theory of survival of the fittest: "In the battle of life, it is the few strong, determined and favored men who win the prizes. Pre-eminently is this true of Wall Street."

Fowler witnessed the rise of the railroads, which, beginning in the 1840s, powered the stock market. At the start of the 1860s the railroads couldn't have been stronger; Wall Street expected a boom, but then the Civil War broke out. Fowler wrote, "The roar of the cannondale at Fort Sumter speedily dispelled these illusions. In three days, thirteen of the leading stocks dropped an average of twenty percent." After the initial panic, Wall Street realized there was money to be made in war and a bull market ensued. "Wars bring forth generals; and revolutions, statesmen" Fowler said. "Times of financial excitement in the stock-market develop skill and ability in that field and bring forth what are termed *Bull-leaders*." Half the fun of investing, according to Fowler, was watching the bulls and bears go head-to-head as each tried to control the exchange.

Fowler himself had some experience in those battles. Specifically, he and some friends were bearish on pork, and he personally shorted 1,000 barrels. "We thought pork," he said, "talked pork, handled pork, dreamed of pork, and did everything with it except eat it, because it cost too much." On the other side of the battle line was a group determined to corner pork—and they did, keeping the price inflated. Fowler's takeaway: Short selling was no different than gambling—and, in fact, even the great Drew eventually went bankrupt by being a bear once too often. From his many experiences, Fowler paints a vivid picture of those early days in *The Stock Exchange*.